

Document Title:	Bidding & Negotiation Process
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1.0 REFERENCE SOP: Source to Procure (SCD-PSP-PRT-OP-001)

2.0 DEFINITION OF TERMS:

- 2.1 **Sourcing Request Form (SRF)** is a document raised by Business Units that initiates Procurement to execute the sourcing process for goods and/or services.
- 2.2 **Request for Quotation (RFQ)** is an invitation to Suppliers to bid for a defined product or service, through simple quotations and/or cost proposals.
- 2.3 **Request for Proposal (RFP)** is an invitation to Suppliers to bid for a complex and/or planned purchase of product or service, thru comparable solutions and/or detailed proposals.
- 2.4 **Purchase Order (PO)** is a document issued by the Company to the awarded supplier for the supply of required goods and/or services indicating the full breakdown of the purchase to be made and all other commercial terms and specifications / scope of work.
- 2.5 **Blanket Purchase Order (BPO)** is a type of Purchase Order issued for a specified period of time for repetitive purchases at an agreed price. This is issued to Supplier/s with a Contract or BPO only, as deemed necessary. For cases of no Contract, this indicates a no commitment to consume the entire quantity or BPO total price.
- 2.6 **Letter of Award (LOA)** is a letter that indicates an initial willingness to enter into a contractual obligation including the elements of a legally enforceable contract. The objective is to create a morally binding but not legally binding assurance. Issued as an optional discretion of Procurement.
- 2.7 **Contract** is a formal written agreement between the Company and the Supplier for the delivery and supply of goods and/or services in conformity with an approved Bid Tabulation or scope of work and indicating all the terms and conditions that bind the parties for the purchase to be made. Contract should pass through for review and approval of Legal Team, Risk, Tax, SCD and Business Unit, and finally signed by Okada-designated signatory.
- 2.8 **Confidentiality and Non-Disclosure Agreement (CNDA)** lays out the Company and the Supplier's responsibilities to protect each other's proprietary, confidential, and sensitive data in any form (paper or verbal). Refer to most updated CNDA form from the Legal Department.

- 2.9 Winning Bidder** refers to the Supplier who submitted the most competitive proposal on total cost of ownership – technical and commercial.
- 2.10 Ringi**, as defined in the Ringi Policy, is a document which is circulated for the purposes of obtaining approval of duly authorized person/s in connection with the implementation of important business matters.
- 2.11 Bidding** is a process of issuing a bid with the intent that Suppliers will put together their best proposal and compete for a specific project/requirement.
- 2.12 Bid Tabulation** is used by Procurement to comprehensively compare bid/s from Supplier/s and recommend the best option to the Business Unit.
- 2.13 Emergency Purchase** is a purchase made to fill an immediate, unexpected need/s when there is insufficient time to procure through competitive bidding.
- 2.14 Business Risk/Criticality** may refer to the risk associated by assessing the current Supplier pool and the supply market availability of the requirement. This refers to requirements that may have limited pool of Suppliers and supply market availability which may be driven by trade exclusivity, Supplier intellectual property rights and patents, shorter product life cycles, government regulations, and specialized expertise.
- 2.15 Market Price Review** is the systematic review of the characteristics, capacity, and capability of the supply market to understand the extent to which the market meets the needs of the buying organization.

3.0 RESPONSIBILITY:

3.1 Requestor / Business Units (BU)

- 3.1.1 Responsible in raising inquiry of SRF which specifies the requirements in terms of, but not limited to:
- 3.1.1.1 Scope of Work/Technical Specifications/Terms of Reference/Bill of Quantities. It must be aligned with the appropriate Divisions (e.g. I.T. Technical, Branding, Promotions, Stewarding – refer to the Corporate Planning guidelines) to ensure that the above is endorsed to Procurement.
 - 3.1.1.2 Periodic Schedule of Requirement - calendar of activities and or promotions / milestones
 - 3.1.1.3 Current Spend and/or Approved Budget
 - 3.1.1.4 Volume forecast
 - 3.1.1.5 Pre-determined Bid Evaluation Criteria
- 3.1.2 For those transactions that would require technical/ functional/ procurement evaluation, BU to agree on the criteria with Procurement (who also performs commercial evaluation) and perform below functions:
- 3.1.2.1 Provide responses to technical queries raised by bidders;
 - 3.1.2.2 Provide actual technical/functional evaluation;
 - 3.1.2.3 In some cases & as requested by Procurement, attend clarification/ negotiation meetings/testing (if applicable) with Procurement;
 - 3.1.2.4 Raise DP/Exec Ringi and follow through approvals; and
 - 3.1.2.5 Submit approved PR (supported within approved Budget)

3.2 Procurement

- 3.2.1 Sources and procures products and services per Requestor's requirements.
- 3.2.2 Assesses the needs of products and services inquiry as proposed by the Supplier

- 3.2.3 Tabulates Suppliers' proposals and evaluation criteria (if applicable). Align with the BU on the over-all assessment which may require quality testing (if applicable)
- 3.2.4 Negotiates commercial terms with the Supplier/s and responsible for ensuring that the winning bidders are accredited.
- 3.2.5 Provides a final recommendation during bid tabulation approvals.

3.3 Tax Team

- 3.3.1 Provides professional advice to the Business Unit, Procurement and Legal on Value-Added Tax (VAT) and tax liabilities.

3.4 Legal Team

- 3.4.1 Safeguards the company's interest when entering into an agreement with suppliers.
- 3.4.2 Facilitates the final execution of the agreements between the company and suppliers.
- 3.4.3 Supports the Business Unit and Supply Chain Division with amendments to or legal termination of agreements between the company and suppliers.

3.5 Risk Management Team

- 3.5.1 Provides professional advice to the Business Unit, Procurement and Legal on the company's risk policies and processes.
- 3.5.2 Reviews the Repository of CGLI and Performance bonds

3.6 Supplier Relationship Management Team

- 3.6.1 Responsible for Supplier accreditation and background checking (as applicable) to ensure that the company is engaging with reputable and capable Suppliers.
- 3.6.2 Responsible for recording and consolidating Supplier Performance evaluation.
- 3.6.3 Responsible for keeping Supplier accreditation data and proposal confidential in compliance to the Employee Code of Conduct and/or Data Privacy Act of 2012 (R.A. 10173).
- 3.6.4 Provides recommendation for potential accredited Suppliers to be invited to bid
- 3.6.5 Monitors list of Suppliers' exclusivity letters and their validity on a regular basis

3.7 Contract Management Team

- 3.7.1 Responsible for contract drafting and routing to Legal, Risk, and Tax for Legal stamping
- 3.7.2 Provides contract templates to Procurement. This contract template can be shared with the vendor for review to secure initial comments. If need be liaise with legal to have a lawyer-to-lawyer discussion to accelerate resolution of issues.
- 3.7.3 Responsible for recording and tracking contract effectivity/expiry

3.8 Procurement Systems

- 3.8.1 Responsible for creation/updating/maintenance of Item Master and bid price in the Procurement system
- 3.8.2 Responsible in answering queries related to the use of procurement system
- 3.8.3 Manages the e-bid process in Supplier.Bid
- 3.8.4 Responsible in generating procurement reports in the RedRock system
- 3.8.5 Updates maximum spend on a regular basis.
- 3.8.6 Manages bidding activity in Procurement.Bids and issues Letter of Award (LOA) to the winning Supplier/s and Thank You letter to the non-winning vendor/s.

4.0 PROCEDURE:

4.1 BIDDING

4.1.1 Business Unit to submit final requirement/s through a fully accomplished SRF with the necessary supporting documents referred in Section 3.1.1.

4.1.2 Procurement Team to secure the following, but not limited to, necessary information and verify its completeness to ensure that the information is sufficient to have an effective competitive bidding. These shall be incorporated in the Sourcing Request Form (SRF).

4.1.2.1 Product Specifications

4.1.2.2 Scope of Works

4.1.2.3 Term of Reference (as applicable)

4.1.2.4 Bill of Quantities/Volume Forecasts (as applicable)

4.1.2.5 Drawings and Artworks/Designs (as applicable)

4.1.2.6 Photos (as applicable)

4.1.2.7 Construction Schedule – for construction requests (as applicable)

4.1.2.8 Event details/requirements

4.1.2.9 Pre-determined Bid Evaluation Criteria

4.1.3 Procurement initiates the following **Procurement methods**:

4.1.3.1 **Procurement Bidding**, such as but not limited to, off-the-shelf items, customized items, services with standard scope, minor renovations projects, installation works, and non-critical projects

4.1.3.1.1 Invitation is sent via email by Procurement, copied the respective Line Manager

4.1.3.1.2 Supplier queries and proposals are sent via email directly back to Procurement.

4.1.3.2 **Closed Bidding, shall be initiated for strategic purchases as may deemed applicable, such as but not limited to the following conditions:**

- **Non-exclusive / non-sole sourced purchase (refer to Single Sourcing /Direct Contracting guidelines under Section 4.3)**
- **subject for long-term engagement or consumption (not less than 1 year)**
- **high spend (not less than PHP10 Million)**
- **purchase that can be supplied (quality and capability considered) by multiple accredited Suppliers (more than 3 Suppliers)**

4.1.3.2.1 Invitation is sent via email by Procurement Systems in reference to the schedule aligned with Procurement

4.1.3.2.2 The invitation may include, but not limited, to the following documents:

- ✓ RFP Document
- ✓ Bid Sheet
- ✓ Okada Manila Supplier Code Of Conduct
- ✓ Okada Manila Supplier Master Terms & Conditions

4.1.3.2.3 Supplier intent to join response, queries, and proposals (soft copy) are sent via email to Procurement.Bids@okadamanila.com

4.1.3.2.4 No deadline extension request shall be entertained after the clarification period. Deadline extension request shall be raised during clarification period.

4.1.3.2.5 Supplier queries shall be sent within the prescribed deadline with no grace period. Procurement Systems consolidates all queries and answers which are shared to all bidders.

4.1.3.2.6 Late "Intent to Join" responses sent within 2 - hours after the prescribed deadline are acceptable. Failure to respond within the grace period will disqualify the supplier from bidding. An

acknowledgement letter shall be sent to Supplier by Procurement Systems once intent to join response is received.

4.1.3.2.7 Hard copies of proposals and samples may be required, as prescribed in the RFP document and are to be collected by the Procurement Systems (for non-food samples only). Refer to Testing and Samples WI Document, SCD-PSP-PRT-WI-021 as applicable.

4.1.3.2.8 Food samples should be delivered in Receiving bay area (Please refer to Receiving of Goods Guidelines, SCD-WRL-WHS-GL-007)

4.1.3.2.9 Two (2) hours grace period is granted for proposal submission provided that there is a valid documented reason from the supplier. An endorsement from the Sr. Procurement Manager and approval from the VP-Supply Chain, Procurement and Strategic Planning should be obtained to entertain late proposals with valid reason and supporting documents provided bid proposals are not yet endorsed by Procurement Systems to Procurement and those who submitted on time should be informed to give opportunity to resubmit. An acknowledgement letter will be sent to supplier by Procurement Systems once proposal is received.

4.1.3.3 Cancellation or Withdrawal of Bid Event is allowed only on the following circumstances:

4.1.3.3.1 Change in Scope or Specifications requiring different set of bidders

4.1.3.3.2 Requirement will no longer push through. An email documentation from the Business Unit is highly required. Business Unit to send Procurement a formal notice indicating reasons and approved by the Business Unit Division Head

4.1.4 As applicable, Procurement and BU are to establish a quantifiable evaluation criteria by which bids will be evaluated with appropriate weight for rating based on the business need. A sample criteria may be as follows:

No.	Criteria	Weight
1	Commercial	40%
2	Technical	30%
3	Contract Compliance	20%
4	Supplier Performance	10%

4.1.4.1 Each criteria should be supported by an evaluation sheet, which evaluates and confirms the evaluation, if applicable.

4.1.4.2 The over-all results should be concurred by the BU and Procurement.

4.1.5 Procurement Team to shortlist Suppliers from the accredited pool of Suppliers maintained by the Supplier Relationship Management (SRM) team.

4.1.5.1 Criteria for short listing Supplier (as applicable)

1. **Competency.** Does vendor capabilities match to the need?
2. **Capacity.** Does vendor have sufficient resources (staff, equipment, storage, available material, etc.) to handle the need?
3. **Commitment.** How committed is the vendor in building a long term relationship with Okada Manila and in producing high quality products/services?
4. **Control.** How much control does vendor have over their policies, processes, procedures, and supply chain and how do they ensure that they deliver consistently and reliably, especially if they rely on scarce resources, and if these resources are controlled by another organization?

5. **Cash.** Is the vendor financially healthy enough to withstand the economic ups and downs?
6. **Cost.** From previous bids, is vendor cost consistently on the lower bracket?
7. **Consistency.** How will the vendor ensure that they consistently provide high quality goods/services and do they have a strong track record, or are they an industry newcomer with an innovative approach?
8. **Culture.** Does the vendor and Okada Manila share similar values?
9. **Clean.** Does the vendor have a reputation for Corporate Social Responsibility and for doing business ethically (Integrity)?
10. **Communication.** Is the vendor's communication approaches aligned to Okada Manila's preferred methods?

References: <https://insightsolutionsglobal.com/10-cs-of-supplier-sourcing-or-evaluation-for-potential-suppliers/>; <https://www.mindtools.com/pages/article/newLMT4/10-cs.htm>

There are SCD processes to pre-qualify Suppliers including but not limited to Supplier accreditation, Supplier performance evaluation, quality testing, hygiene site audits, corrective and preventive action, and business unit feedback.

Top performing Suppliers shall be shortlisted. In addition, new and other existing Suppliers shall be invited to continuously improve Supplier base.

4.1.5.2 For existing and accredited Suppliers, Supplier Performance Review must be requested from Supplier Relationship Management (SRM) team for PO-based and Contract Management Team for Contract-based and may be reflected in the overall Qualitative Analysis.

4.1.5.3 New Suppliers who are not yet accredited may still be shortlisted, i.e. participate in the bidding but must complete accreditation simultaneously with the bidding process. Failure to pass accreditation prevents Procurement from awarding contract to Supplier.

4.1.5.4 An unaccredited Supplier is required to sign the company's Confidentiality and Non-disclosure Agreement (CNDA) before being allowed to participate in the bidding.

4.1.5.4.1 Additional risk level evaluation (e.g. Equity to Contract Amount Ratio, additional bonds required, additional insurances required, etc.) may be required from the Risk Management team for projects with high value and high business risk/criticality stakes. The request for additional evaluation will be coursed through the SRM team. *Refer to SCD-BPT-SRM-WI-007, How to determine Risk Level of Suppliers*

4.1.5.5 Market Price Review

4.1.5.5.1 The primary reference of Procurement to know the market pricing or cost competitiveness of off-the-shelf items to be purchased are the historical data from the system and the bid results of the current bid tab.

4.1.5.5.2 Other sources may be referred from online platform or sites, published references and government sites, whichever is applicable and may best estimate the total cost of ownership (TCO) of the product being purchased.

4.1.5.5.2.1 Using secondary sources, a sampling methodology may be employed based on number of SKUs in each bid tab. 1 SKU

can be presented with market price for every 5 SKUs on the list (Minimum of 1 SKU per bid tab).

- 4.1.5.5.2.2 Exclusion to the above are the Sole-Sourced, Customized item and/or Services, those with very limited/non-conclusive or unavailable references, and all commodities or bids that passed through SRM and E-bid.

- 4.1.5.6 Procurement is required to meet the minimum number of bidders as defined in the below matrix:

Total Amount per Bid Tabulation	Minimum No. of Bidder/s
Up to 100,000 Php	1 Bid
More than 100,000 – 500,000 Php	2 Bids
More than 500,000 Php	3 Bids

- 4.1.5.7 Procurement representative shall ensure that Line Manager is always copied during bid event and that prior determining the winning vendor, the vendor is accredited and complies with all the regulatory requirements as needed for the transaction at hand (e.g. PCAB, FDA, etc.)

- 4.1.6 A pre-bid meeting may be performed with all the shortlisted vendors to align requirements and expectations, if applicable.
- 4.1.7 Only one (1) pre-bid meeting may be scheduled. Suppliers who fail to attend the pre-bid meeting cannot be given a special one-on-one session to ensure that the same information and interpretation of information by all suppliers.
- 4.1.8 A pre-bid meeting shall be conducted for complex technical and service requirements. Manager/Sr. Procurement Manager to ensure that a Pre-Bidding is conducted as needed.
- 4.1.9 Procurement Team to align the bidding schedules with the requesting Business Unit the confirmed “required date” of the request and plot the Schedule in the Tender Document. Below are the activities, but not limited to;

Dates	Activity
Required	Release to Suppliers
Optional	Pre-bid Meeting and Site Inspection. Time to be advised
Required	Bidders to submit Notice of Intent to Respond
Required	Deadline for information request from Bidders (queries)
Required	Responses due for Bidder's questions
Required	Submission of Proposals by Suppliers due EOB (5pm)
Optional	Submission of Product Samples
Optional	Testing of Product Samples
Optional	Schedule of Food Tasting
Required	Evaluation of Proposals
Optional	Clarification Meetings

- 4.1.10 Procurement finalizes the bidding requirements and seeks approval from the Manager/Sr. Procurement Manager. The following documents, but not limited to, must be provided in write-protect format, e.g. pdf or locked excel cells, etc.
- ✓ A short Business Case in PowerPoint File
 - ✓ RFQ Template/ RFP Template
 - ✓ Pricing Template/ Bid Sheet
 - ✓ Bid Evaluation Criteria and BU Bid Evaluator (accomplished)
 - ✓ Qualitative Analysis Template

- 4.1.10.1 Tax team shall be consulted on any tax liabilities. Tax liabilities shall be considered in the bidding and negotiation. It shall be noted in the Remarks

section of the Bid Tabulation template and shall be considered in the overall analysis of the bidding results.

4.1.11 Bid conditions and its corresponding bid opening results are as follows:

CONDITION	RESULT
With at least the minimum required number of bid/s received	Successful Bid
Less than the minimum required number of bids received	Deficient Bid
No bid received	Failed Bid

4.1.11.1 If number of received proposals/quotations is less than minimum required bids (refer to 4.1.5.6 Bid Matrix), an endorsement from the Asst. Manager/Manager and designated SCD approver are obtained to declare if the bidding is successful or failed (i.e. rebidding required).

4.1.11.2 If a Bid Event resulted to a Deficient or Failed Bid, additional steps or remedies are as follows:

4.1.11.2.1 Extend Duration of the closing of Bid and Invite Additional Bidders with exceptional approval from the VP - Supply Chain Division

4.1.11.2.2 Restart Bidding Process

4.1.11.2.3 Withdraw the Requirement

4.1.11.3 Bidders shall be informed of the invalidation of their proposals, if any, with appropriate explanation for the invalidation of their bids, either because of non-compliance to instructions or late submission of bids.

4.1.11.4 Procurement has the right to obtain details of bids that have been invalidated or withdrawn. Details of the invalidated bids may serve as valuable input in negotiating for better price, quality, or offer with a selected supplier.

4.1.12 Procurement to tabulate the bids for qualitative analysis.

4.1.12.1 Bids are tabulated based on the established evaluation criteria in 4.1.4.

4.1.12.2 Technical part of the bid shall be reviewed and evaluated by the Business Unit. Procurement representative must be present during meetings Business Unit and vendor/s.

4.1.12.3 Supplier Performance may also be tabulated with data collected by Supplier Relationship Management (SRM) Team.

4.1.13 The draft Bid Tabulation must be reviewed based on the Approval Matrix.

4.1.13.1 The best overall Total Cost of Ownership (TCO) methodology shall be employed by SCD in obtaining competitive pricing from suppliers.

4.1.13.2 Under no circumstance should Procurement members or Business Units discuss or disclose competitive bidding data with any third party. The bidding information is kept CONFIDENTIAL at all times. Non-compliance will result in disciplinary actions prescribed in the Employee Code of Conduct.

4.1.14 The final and duly signed Bid Tabulation form will be shared with the requesting Business Unit for finalization.

4.2 NEGOTIATION

Procurement Team shall coordinate and reconcile with the Business Unit in evaluating the qualifications based on the set criteria. Negotiation with the shortlisted vendor/s shall be performed.

4.2.1 An ideal term for negotiation should benefit both the company and the vendor. It shall be performed with the lowest cost and technically-compliant bidder. Negotiation should be

between the framework of the company's best interest and established terms and conditions including but not limited to:

- ✓ Financial discount and credit terms
- ✓ Freight terms and allowances
- ✓ Trade discounts
- ✓ Earned volume rebates and discounts
- ✓ Price protection
- ✓ Return privileges/consignment provisions
- ✓ General pricing
- ✓ Agreement to other protection clauses

4.2.1.1 Aside from the relevant Buyer, the Procurement Manager or Sr. Procurement Manager must be involved in the negotiation whether via email or face-to-face.

4.2.1.2 Representative/s from the Business Unit and Contract Management Team may be invited to form part of the negotiation panel for complex projects not necessarily to negotiate with the vendor but to provide input/s, if any.

4.2.1.3 Members of the negotiation panel must be oriented by the Procurement representative on the points for negotiation.

4.2.1.4 The standard terms and conditions is shared with the supplier prior to negotiation

4.2.1.5 Procurement Team shall obtain a copy of the previous/expiring contract or agreement from the Contract Management Team which may be used as a reference for negotiation.

4.2.2 For face-to-face negotiations, Procurement to provide the bidder all relevant information about the negotiation via email.

- ✓ Date
- ✓ Time
- ✓ Location
- ✓ Any reference number of proposal from Supplier

4.2.3 If the negotiation failed with the two (2) best bidders, i.e. the company and bidder do not agree on all terms, thorough evaluation shall be done to determine if rebidding is required.

4.2.4 After negotiation, the bid tabulation is updated by the Procurement representative and routed to Supply Chain Division (SCD) internally for signature to finalize.

4.2.4.1 Business Unit, upon securing the signatures from all SCD approvers (follows the approval matrix), shall review and approve the finalized bid tabulation.

4.2.4.2 The Bid Tabulation must bear the SRF reference number (if applicable), the DP Ringi reference number (if applicable), the savings declaration, and other narrative that would explain the course of the bidding and negotiation.

4.2.4.3 Should the Business Unit disagree with final recommendation of Procurement in the signed Bid Tabulation, the Procurement Team shall make a note on the final and duly signed bid tabulation.

4.2.4.4 Procurement shall identify the best approach of an award instrument to be used in dealing with the vendor. To determine the proper award instrument depends on the Value and Business Risk/Criticality of the category where the requirement falls under.

4.2.5 Business Unit shall use the duly signed bid tabulation form to apply for an Execution Ringi.

4.2.5.1 If a contract is required, contract management team shall initiate the Contract Review Process. A duly signed Contract Review Form and legally-stamped final draft of the contract are required attachments to the Execution Ringi application.

4.2.6 Once Execution Ringi is approved, if required, Business Unit shall inform Procurement representative.

4.2.7 Procurement Systems Team shall inform the bidders of the bidding result.

4.2.7.1 A Letter of Award (LOA) may be provided (optional) to the winning bidder. The LOA shall be issued to the winning bidder in reference to the fully signed Bid Tabulation. Contract supersedes the LOA.

4.2.7.2 The LOA should be signed by the concerned Business Unit Head and noted by VP-Supply Chain, Procurement and Strategic Planning.

4.2.7.3 Bidders who participated and were not awarded shall be informed via email through a "Thank You" letter after purchase order issuance (with acknowledgement from the winning vendor) or contract execution.

4.3 WAIVER OF BID (WOB)

4.3.1 Waiver of Bid is a request to purchase goods or services without the competition or bidding. Also known as "Single Sourcing", it is defined as "the practice of using one source among others in a competitive marketplace for justifiable reason such as:

4.3.1.1 Immediate need which the requiring Business Unit could not have foreseen the required time of normal procurement process

4.3.1.2 Emergency need which property is damaged or considerable cost will be incurred if not repaired immediately

4.3.1.3 Compatibility of existing requirement

4.3.1.4 Only one vendor is identified and compliant to supply the goods and services

4.3.2 Single sourcing decisions are usually made at strategic planning and approved by BU Head. It is often opted for with purpose of reducing material costs, as placing all purchasing requirements with only one supplier. Some pre-requisites of a single sourcing decision includes the following:

4.3.2.1 Successful past engagement with the supplier

4.3.2.2 Ongoing long term relationship with the supplier

4.3.2.3 Supplier can offer unique or outstanding quality

4.3.2.4 Order is small and not worth dividing

4.3.2.5 Original equipment provider or Exclusive Distributor

4.3.2.6 Brand or quality specific preferences by BU

4.3.3 A purchase made to fill an IMMEDIATE and UNEXPECTED need where there is no sufficient time to go through the bidding process is often called as Emergency Purchases. These cases refer to adverse events, unforeseen circumstances such as global pandemic, that without proper action would result to grave threat to safety, security, and /or the Company's operations as follows:

4.3.3.1 Threat to Safety refers to risk of life or injury to employees and/or other individuals

4.3.3.2 Threat to Security refers to risk of property loss

4.3.3.3 Threat to Operations refer to risk of revenue loss

4.3.3.4 Examples of emergency cases as referred to the Corporate Planning Policy (CP-SOP004-VER-1) are as follows:

4.3.3.4.1 (Force Majeure) Purchase of all critical commodity requirements upon activation of Business Continuity Plan such as strike, riots/civil disturbance, fire, flood, earthquake, typhoons, bombings, and health hazards.

4.3.3.4.2 Purchase/Service on incidental expenses for accidents, medical or hospitalization that happen during the performance of duties

4.3.3.4.3 Purchase/Service/Repair resulting to gas and water leaks, replacement of FDAS and fire protection, addressing defects on MEPF equipment such as replacement of electrical parts, mechanical

parts, piping parts which are not available in the warehouse and are urgently needed.

- 4.3.3.4.4 Purchase/Service/Repair of entrance doors or windows that if not repaired/replaced, would result to potential losses of property, addressing other defects such as glass, carpets which pose tripping hazards and other similar cases, tapping the services of expert engineers/technicians for complex defects which can be fixed only by equipment supplier specialists
- 4.3.3.4.5 Rental of complex testing instruments including its operator/s for the above emergency defects

4.3.4 In emergency conditions mentioned above where normal business operations will be affected, procurement of goods and/or services shall follow the documentation required in the Corporate Planning Policy (CP-SOP004-VER-1).

- 4.3.4.1 Non-compliant or deviation on this Emergency purchase policy shall not be allowed. In the event of an unauthorized Emergency purchase, Procurement Manager/Sr. Manager shall consolidate report/s of non-compliance as needed and submit to the responsible Department/Section Head of the Business Unit for proper action and for information of the Business Unit Division Head and VP-Supply Chain, Procurement and Strategic Planning.

4.4 ONLINE PURCHASING THROUGH CORPORATE CREDIT CARD

- 4.4.1 This provision shall follow guidelines detailed in *TRLEI-PP-022-VER.3*, Corporate Credit Card.
- 4.4.2 Items found through online sources (Shopee, Lazada, Alibaba, etc.) should be raised in SRF and list down all the items and links individually for common reference.
- 4.4.3 Procurement will try to source the said items thru the accredited vendors and compare them to identify which purchasing option is the most strategic by providing the overall cost and commercial details.
- 4.4.4 Any online sources will be part of the bid tabulation following the standard bid tabulation procedures as detailed above.
- 4.4.5 All commercial risks shall also be detailed on bid tabulation remarks and should be part of the approval of BU if they wish to proceed.
- 4.4.6 As per *TRLEI-PP-022-VER.3*, Corporate Credit Card shall be used for business purposes only, such as, but not limited to
 - 4.4.6.1 Purchase of goods and services for legitimate business operations (urgent requirement, one-off purchase/ low value)
 - 4.4.6.2 Business meetings, travel and entertainment (local or overseas); and
 - 4.4.6.3 Other business expenses (e.g. utility bills) deemed appropriate by the VP Accounting which will require auto-charge arrangements.
 - 4.4.6.4 Any other purchases aside from the mentioned, may only be approved by VP-Accounting upon the endorsement of VP-Supply Chain and VP- Business Unit.
- 4.4.7 As such, Corporate Credit Cards may not be used for:
 - 4.4.7.1 Personal expenditures (even if it is intended to be repaid);
 - 4.4.7.2 Cash advances;
 - 4.4.7.3 Purchase of inventory items for resale;
 - 4.4.7.4 Fixed or capital asset acquisitions (including IT equipment and mobile phones); and
 - 4.4.7.5 Other prohibited transactions as may be determined by the Company.

4.4.8 The current credit card limit is initially set at Php 100,000. Transactions may exceed such amount only upon the endorsement of Supply Chain VP and Business Unit VP.

4.4.9 After bid tabulation and ringi approval (if required), it shall follow the Corporate Credit Card Process. Refer to TRLEI-PP-022-VER.3 Appendix 11.1

4.4.10 As part of the Corporate Credit Card Process, VP- Supply Chain shall approve Request for Payment to vendors.

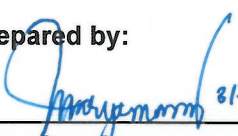
4.5 Any deviation to the guidelines shall require approval from VP-Supply Chain.

5.0 REVISION HISTORY:

Revision No.	Effective Date	Reason of Revision	Prepared by	Reviewed by	Approved by
00	18-Dec-2019	Initial	R. Franciso	R. Basada & J. Baranda	R. Aguas Jr.
01	14-Feb-2020	• Inclusion of process for tenders conducted via RFP under 6.3.7.1 • Inclusion of 6.3.7.2 & 6.3.7.3 process step • Inclusion of after PO or Contract execution and triggered by Procurement under 6.2.7.4	R. Franciso	R. Basada & J. Baranda	R. Aguas Jr.
02	03-Aug-2020	• Change of signatories	R. O. Basada	R. B. Aguas Jr.	
03	25-Aug-2020	• Inclusion of bidders lists approval under 5.1.4.6 • Modified grace period of late submission from 30 minutes to 2-hours under 5.1.9.3 and 5.1.9.6 • Inclusion of additional steps of submission of Food samples • Change approval from Director, Supply Chain and Administration to VP, Supply Chain, Procurement and Strategic Sourcing • Inclusion in the Emergency Purchases of Unforeseen circumstances such as global pandemic under 5.2.3	R. O. Basada	R. B. Aguas Jr.	
04	03-Sep-2020	• Inclusion of LOA as optional under 5.3.7.1 • Deletion of responsibility of VP-Supply Chain, Procurement and Strategic Sourcing in signing of LOA on behalf of multiple Business Units • Deletion of 5.3.7.3 – Requiring	R. O. Basada	R. B. Aguas Jr.	

		Approved Ringi prior to issuance of LOA • Inclusion of process of approval from VP-Supply Chain, Procurement and Strategic Sourcing for any deviation occur			
05	15-Feb-2021	• Deletion of Scope and Applicability and Value under Definition of Terms • Inclusion of Market price review under Definition of Terms • Modification of Definition of Terms for RFQ, RFP and Bidding • Addition of the following responsibilities: • Business Unit under 3.1.1.2 & 3.1.1.4 • Procurement under 3.2.3 & 3.2.5 • SRM under 3.6.4, 3.6.5, & 3.6.6 • Procurement System under 3.8.5 • Addition of necessary information under 4.1.2.4 • Inclusion of RFQ/RFP process under 4.1.3 • Modification of RFP process sample criteria • Inclusion of Criteria for Shortlisting Suppliers under 4.1.5 • Inclusion of Market Price Review process under 4.1.5.5 • Revision of QMS approval matrix	S.P. Palaganas	R. O. Basada	R. B. Aguas Jr.
06	28-Apr-2021	• Change of Document Number from SCD-PSS-SYS-GL to SCD-PSP-PRT-GL	S.P. Palaganas	R. O. Basada	R. B. Aguas Jr.
07	23-Mar-2022	• Inclusion of process of Online Purchasing through Corporate Credit Card under 4.4	S.P. Palaganas	R. Basada	R. B. Aguas Jr.
08	23-Dec-2022	• Change of Preparer and Requester • Change in Section 4.1.3.1 & 4.1.3.2 • Change of RFQ/RFP Accountability, from SRM to Procurement Systems	M. Aro	M. Bonifacio	R. B. Aguas Jr.

09	01-Apr-2023	- Revised Section 4.1.3, 4.1.3.1 and 4.1.3.2 for the 2 types of Procurement methods: Procurement Bidding and the Closed Bidding. - Revised the applicability of Closed Bidding under Section 4.1.3.2	M. Arao	M. Bonifacio	R. B. Aguas Jr.
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Prepared by:  <u>31-MAR-2023</u> Mary Ann Arao Manager, Supplier Relationship Management & Quality Management System	Reviewed by:  <u>31-MAR-2023</u> Mary Flor Bonifacio Senior Manager, Supply Chain Business Support	Approved by:  <u>31-MAR-2023</u> Ricardo Aguas Jr. Vice President, Supply Chain, Procurement and Strategic Sourcing Date: <u>31-MAR-2023</u>
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